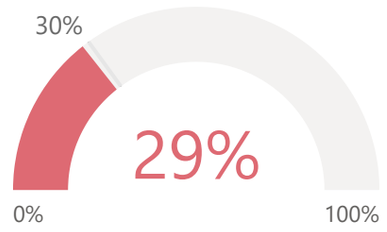
Cost Analysis Overview

A | B | C | 2024 | 2025

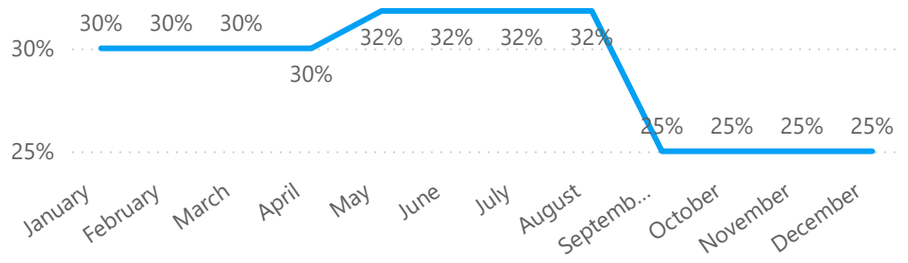
Total Revenue	Total Cost	Total Margin
3,675K	2,620K	1,055K

Volume Change monthly average	Profit Change monthly average	Profit Share of portfolio total
6%	5%	76%

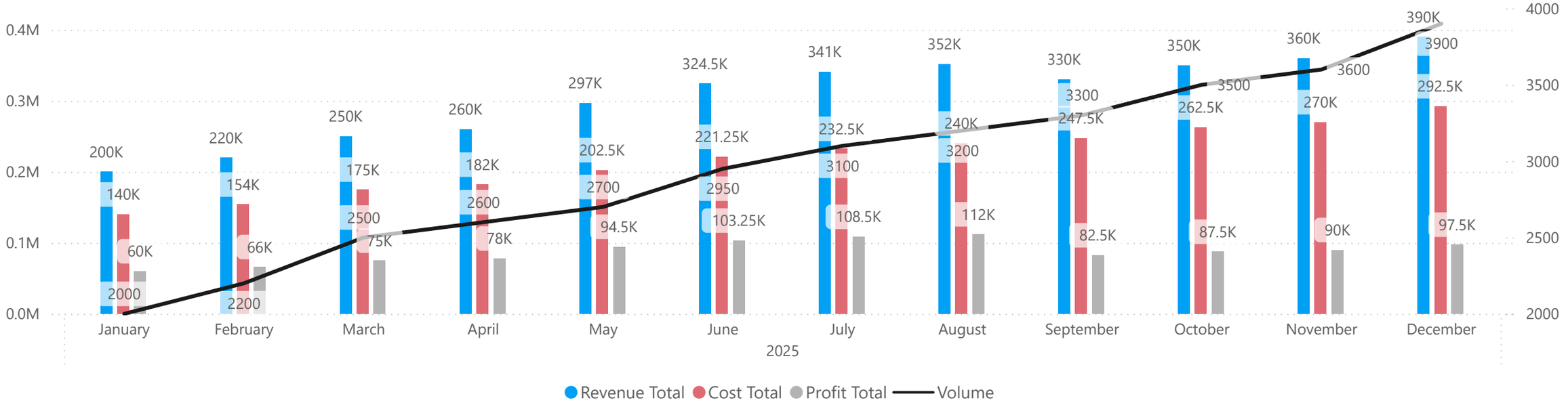
Margin % vs. Target



Margin Trend



Revenue, Cost, Profit & Volume Trend



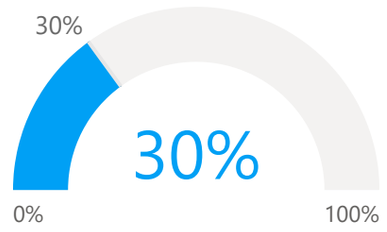
Cost Analysis Overview

A | B | C | 2024 | 2025

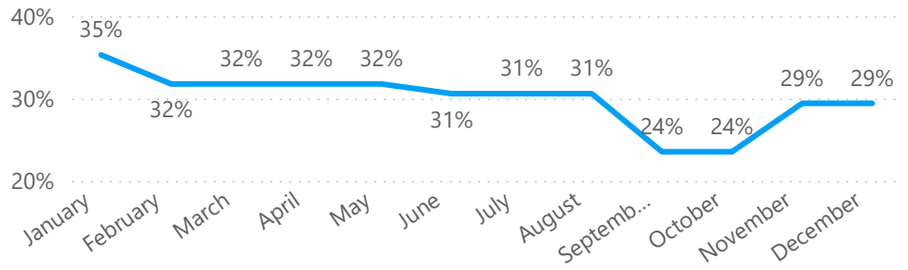
Total Revenue	Total Cost	Total Margin
660K	461K	200K

Volume Change monthly average	Profit Change monthly average	Profit Share of portfolio total
-3%	-4%	14%

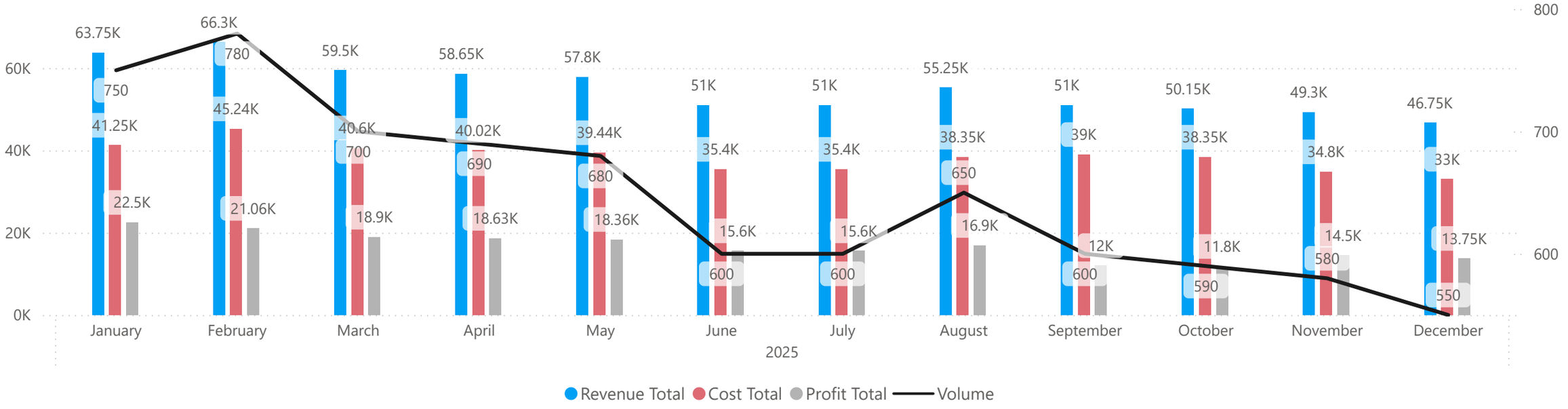
Margin % vs. Target



Margin Trend



Revenue, Cost, Profit & Volume Trend



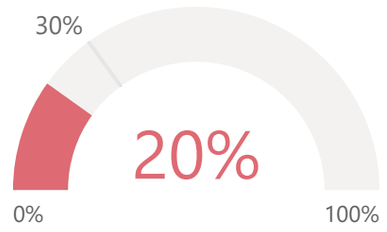
Cost Analysis Overview

A | B | C | 2024 | 2025

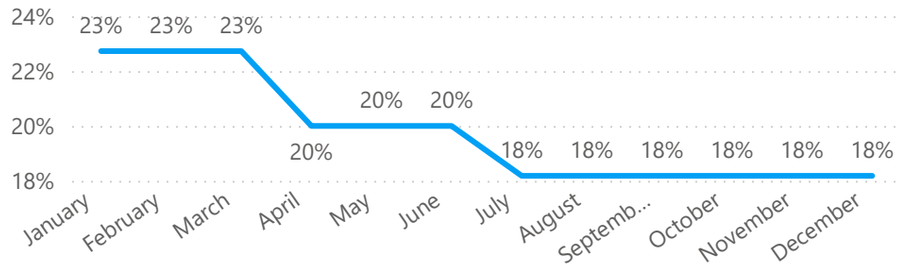
Total Revenue	Total Cost	Total Margin
704K	565K	139K

Volume Change monthly average	Profit Change monthly average	Profit Share of portfolio total
0%	-2%	10%

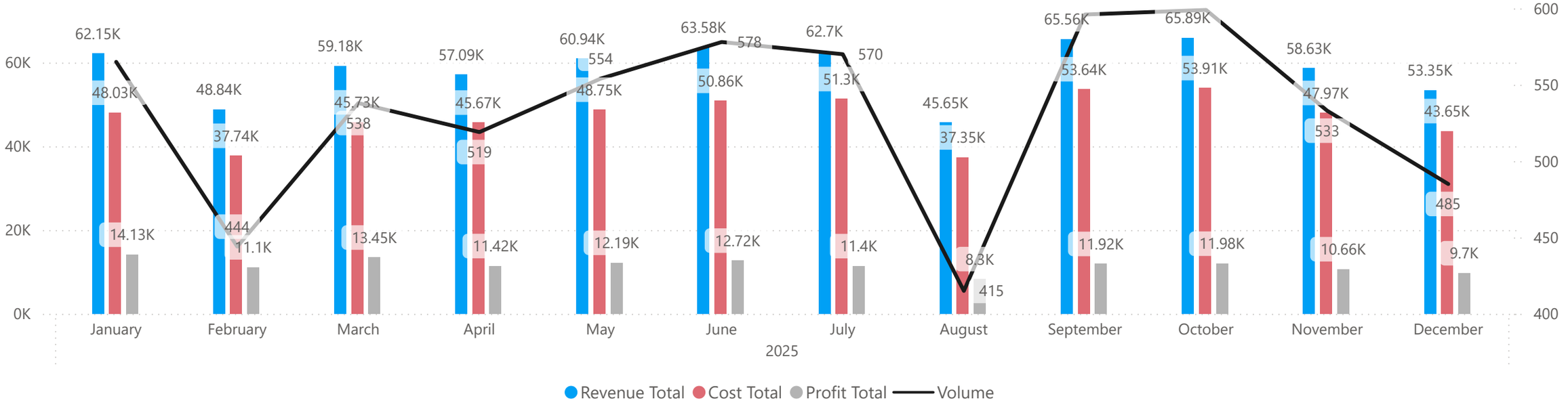
Margin % vs. Target



Margin Trend



Revenue, Cost, Profit & Volume Trend



Overall Summary & Product Insights

Overall Portfolio Summary - 2025

Based on the dashboard insights, Product A should be the primary focus due to its volume strength and high profit share, but persistent under-target margins. Product B reached the target margin but is losing volume, which threatens its contribution. Product C continues to underperform on margin but has a relatively small impact on overall profitability. The recommended actions prioritize price/cost measures for A, commercial measures for B, and optional margin improvement actions for C.

Product A

Product A shows strong and consistent demand, with volumes growing by an average of +6% per month in 2025. Despite this, profitability weakens toward the end of the year: margin % drops below the 30% target starting in September and stabilizes around **25%**, even though the average monthly profit growth still shows **+5%**. The key driver is that **costs are rising faster than revenue**, compressing unit margins. With Product A accounting for **≈76% of total profit**, this margin decline has the highest impact on overall business performance.

Recommended Action

- Prioritize **margin recovery** through targeted price increases or cost renegotiations.
- Conduct drivers analysis to confirm whether **supplier cost inflation** or **lower realized prices** are creating the gap.
- Given its portfolio weight, ensure **monthly monitoring** and early-warning signals for margin declines.

Product B

Annual margin % meets the 30% target, but performance is unstable, settling at **29%** in the final two months – slightly below target. Volume tends to decline, however, therefore even if margins remain acceptable, **declining volume poses a risk** to future profitability and product relevance within the portfolio.

Recommended Actions

- Investigate **market or competitive factors** driving demand decline.
- Consider **commercial levers** (incentives, pricing tweaks, customer targeting) to stabilize volume.
- Continue monitoring margin performance to keep it at or above the 30% target.

Product C

Product C's margin % remains below the 30% target throughout 2025 and declines further mid-year and profitability drops too. Its overall impact on the business is limited, however, as it contributes only **~10% of total profit**. Overall, Product C is a **low-margin, low-impact** item in the portfolio; while its performance is not meeting margin targets, its limited contribution makes it a